

Qualitative Assessment

Artesian Resources Corporation

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Summary

What do they sell?

Artesian Resources sells regulated essential utility services, primarily potable water distribution and wastewater collection/treatment, along with related services such as fire protection water service, contract operation of water and wastewater systems, infrastructure design/build services, and water/sewer service line protection plans. The core business is still regulated water utility service, which generated 81.6% of consolidated 2024 operating revenue through Artesian Water.

Who buys it?

Its customers are mainly residential households, but it also serves commercial, industrial, governmental, municipal, and utility customers across Delaware, with smaller operations in Maryland and Pennsylvania. The company's largest water system is in northern and southern New Castle County, Delaware, where it serves about 80,100 metered customers, while its wastewater operations are concentrated in Sussex County, Delaware. It also provides contract buy services to municipalities, developers, and government agencies.

Why do customers buy from them instead of others?

Customers generally do not choose Artesian the way they would choose a normal competitive business. In most cases, they buy from Artesian because it holds exclusive certificated service territories, giving it the legal right to serve customers in those areas. That regulatory position, combined with essential service, existing infrastructure, long operating history, and compliance with drinking water and wastewater standards, is the main reason customers use Artesian rather than an alternative provider. In expansion areas, developers, landowners, and municipalities may choose Artesian because it can secure CPCNs, finance and build required infrastructure, and operate integrated systems with sufficient existing capacity.

One important growth note: the population backdrop is more favorable in Sussex County than in New Castle County. New Castle County grew from 538,479 in 2010 to 570,719 in 2020 and an estimated 588,093 in 2024, while Sussex County grew from 197,145 in 2010 to 237,378 in 2020 and an estimated 271,134 in 2024. That matters because Artesian's largest existing customer base is in New Castle County, but a meaningful portion of its undeveloped exclusive wastewater territory and future greenfield opportunity is in Sussex County.

Earnings

What are the primary drivers of earnings?

Artesian's earnings are driven primarily by three factors: customer growth within its certificated service territories, rate increases approved by regulators, and continued investment in utility infrastructure that expands the regulated asset base. Water sales remain the core earnings driver, but wastewater operations and related utility services also contribute. Because the business is a regulated utility, earnings growth is influenced less by aggressive volume expansion and more by steady additions of customers, periodic rate relief, and capital deployment into infrastructure that supports future revenue.

Does the company have pricing power, or are prices determined by the market?

Artesian does not have traditional market-based pricing power. Prices are determined largely through the regulatory process rather than through open competition or management discretion. In practice, this means the company benefits from monopoly-like service territories, but its ability to raise prices depends on approval from state regulators. So while Artesian is protected from direct competition in its territories, its pricing is constrained and governed by regulation rather than true free-market pricing power.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings appear generally stable, with some modest variation but little evidence of deep cyclicity. This stability comes from the essential and recurring nature of water and wastewater service, the regulated structure of the business, and the fact that customer demand is tied to basic necessity rather than discretionary spending. Earnings can still be affected by weather, regulatory timing, infrastructure spending, and compliance costs, but overall the pattern is much more stable than that of a typical industrial or consumer business.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

Artesian's core competitive advantage is not superior branding or a novel product. It is its legally protected utility franchise. In its existing service areas, the company operates under Certificates of Public Convenience and Necessity that grant exclusive rights to serve customers, and the business is described by the company as being "substantially free from direct competition" inside those franchised territories. The moat is therefore based primarily on regulation, embedded infrastructure, and local monopoly characteristics rather than open-market competition. That said, the financial record suggests the company's returns are stable more than strong; the moat appears real, but the economics look moderate rather than exceptional.

Cost advantage:

There is some cost advantage, but it is local and practical rather than dramatic. Artesian already owns and operates a large installed network of wells, treatment plants, mains, tanks, storage, and interconnections across its territories. A new entrant would have to replicate that system and also secure regulatory approvals, which makes duplication uneconomic. The company also benefits from integrating smaller satellite systems into larger regional systems as development continues.

Network effects:

There are no true network effects in the classic sense. The value of the service does not rise because more users join a communication or software network. What exists instead is a utility density effect: as Artesian adds customers within or adjacent to existing service territories, the economics of its installed infrastructure can improve. That is useful, but it is not a network effect moat.

Switching costs:

Switching costs are effectively very high for customers, but not because of customer preference or software lock-in. They are high because service is tied to physical connection and geography. A household or business inside Artesian's exclusive territory generally cannot choose another provider without a fundamental change in infrastructure and regulation.

Brand:

Brand is not the primary moat. Artesian has a long operating history and is the oldest and largest investor-owned public water utility on the Delmarva Peninsula, which likely helps with credibility among regulators, municipalities, and developers.

Regulation:

This is the strongest moat category. CPCNs give Artesian the exclusive right to serve designated water and wastewater territories, and once granted, those rights cannot be suspended or terminated absent good cause as determined by the regulator. Regulators also govern rates, service territories, acquisitions, securities issuance, and other major operating matters. In existing territories, regulation protects the franchise; in new territories, regulation is also where competition occurs, because other utilities can compete for newly awarded service areas.

Scale:

Artesian has a meaningful local scale, though not a large national scale. Its largest connected regional water system covers about 145 square miles in New Castle County and serves about 80,100 metered customers, and across Delaware it operates 62 treatment facilities, 1,491 miles of mains, 36 storage tanks, and substantial groundwater and storage infrastructure. That scale should create operating advantages versus smaller local systems, but it is still the scale of a regional utility, not a dominant national consolidator.

Asset ownership:

Asset ownership is a major part of the moat. Artesian owns the physical system required to source, treat, store, transport, and distribute water, along with wastewater collection and treatment assets. Those assets are expensive, regulated, location-specific, and difficult to replicate. The company also has water supply capacity, storage, interconnections, treatment facilities, and wastewater disposal assets already in place.

Geographic monopoly:

This is one of the clearest ways to describe the moat. Artesian holds exclusive water service territory over about 310 square miles and exclusive wastewater territory over about 61 square miles, with large portions of that wastewater territory in Sussex County still undeveloped. Within those territories, the company functions as a localized monopoly utility.

Moat (Company Specific)

What return on equity is allowed by regulators?

Artesian's most recent Delaware rate settlement uses an allowed ROE of 9.5%. Actual ROE has generally been around that level or modestly below it in recent years, indicating the company earns reasonable regulated returns but not clear excess returns above the regulatory framework.

How often does the company file rate cases?

Artesian files full base-rate cases infrequently, not every year. Its prior major Delaware base-rate filing before 2023 was in 2014, followed by a new filing in 2023, a settlement in 2024, and another filing in 2025. Earnings stability between those filings suggests the company relies on periodic rate relief, DSIC recovery, and steady customer/infrastructure growth rather than constant rate cases.

What has customer count growth been over time?

Customer growth appears steady but not fast. Artesian reported about 75,100 metered customers in 2007, about 87,800 Delaware metered water customers in 2019, about 90,300 Delaware metered water customers in 2020, about 91,700 customers in 2021, and in the most recent filings its largest connected regional system alone had about 80,100 metered customers while Delaware water customers increased 1.6% in 2024 versus 2023, Maryland water customers increased 2.3%, and Pennsylvania was flat. That points to a business with slow, consistent customer growth tied to development and service-territory expansion, not rapid market-share gains.

Capital Allocation

Have they diluted shareholders?

Yes. Share count increased from 5.85 million in 2003 to 10.30 million in 2024, which is substantial dilution. This suggests a meaningful portion of growth has been financed with equity rather than being delivered entirely through internally generated capital.

Are buybacks intelligent or desperate?

Neither. There is no real evidence of buybacks as a meaningful capital allocation tool during this period. The pattern is the opposite: the company has generally issued shares rather than retired them, which is consistent with a capital-intensive utility funding growth and infrastructure needs rather than returning excess capital through repurchases.

Debt behavior rational?

Mostly yes. Debt increased over time as the business expanded, which is normal for a regulated utility, but the balance sheet does not look reckless overall. Debt/equity was very high in the early years and spiked in 2010, but it improved materially afterward and generally stayed in a more reasonable range. The company appears to have used debt as a normal financing tool for infrastructure-heavy operations rather than in an obviously irresponsible way.

Acquisitions disciplined?

Nothing in the financial summary suggests aggressive or reckless acquisition behavior. Growth appears gradual and utility-like rather than acquisition-fueled in a destabilizing way. Based on the numbers alone, acquisitions look disciplined or at least not problematic, though this is one area where the financial summary by itself cannot fully prove quality.

How has management historically used free cash flow?

Historically, free cash flow has been weak and often negative, which indicates that operating cash flow has largely been reinvested back into the business through capital expenditures. In practice, management appears to have used cash primarily to:

- fund infrastructure and system expansion,
- support the regulated asset base,
- maintain the dividend,
- and cover capital needs with operating cash flow, debt, and equity issuance.

Failure

How could this business fail?

Outright failure appears unlikely. Artesian operates an essential service business with near-monopoly characteristics in existing territories, deep regulatory protection, and a century-long operating history. A more realistic risk is not collapse, but gradual erosion in economics if regulators became less supportive, capital needs consistently outpaced cost recovery, or management funded growth poorly through too much debt or dilution. Even then, the business itself would likely remain durable. The bigger concern is usually impaired shareholder returns, not business failure.

How could competitors or technology disrupt this business?

Direct disruption risk is low inside existing franchised territories because Artesian operates as a local regulated monopoly. Competitors are more relevant in new service territory awards, where other utilities or municipalities can win the right to serve undeveloped areas. Technology is more likely to change costs than to displace the business itself. New treatment requirements, alternative water systems, conservation technology, or distributed solutions could affect volumes or increase capital needs, but they are unlikely to eliminate demand for centralized water and wastewater service in Artesian's core territories.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

Yes, likely at the right price. Artesian is a durable, necessary, regulated utility with monopoly-like service territories, recurring demand, and a long history of stable operations. It is not an exceptional business economically, but it is the kind of business one could reasonably own privately because the service is essential, demand is persistent, and the company should continue producing earnings and dividends over time. The main hesitation would not be survivability, but modest returns, heavy capital needs, and dilution.

Why will this business still exist in 20 years?

This business will likely still exist in 20 years because it provides an essential service that society cannot do without, operates in protected service territories, and owns infrastructure that is difficult and uneconomic to replicate. Water and wastewater demand should remain recurring, and the company's regulatory position, physical assets, and local monopoly characteristics make displacement unlikely. The business may change in size, rates, and compliance burden, but the underlying need for treated water and wastewater service should keep it in place.

Final

What do I not understand? What makes me uncomfortable?

The main unresolved issue is whether the strength of the moat is translating into strong enough per-share economics. The business itself appears durable, but returns on invested capital have remained modest, free cash flow has often been negative because of heavy capital needs, and shareholder dilution has been meaningful over time. That dilution is the clearest source of discomfort, because it suggests that a notable portion of growth has required outside capital rather than being funded internally. I would also want a clearer understanding of how consistently management can earn near-allowed returns while funding infrastructure, regulatory compliance, and growth without continuing to dilute shareholders.

Pass or Fail to Phase 3?

Pass to Phase 3. Artesian appears to be an understandable, durable, essential-service business with a real moat rooted in regulation, geography, and infrastructure. The reason to move forward is not that the company looks exceptional, but that it looks strong enough qualitatively to justify deeper work on capital allocation, dilution, returns, and per-share value creation.